make things and sell things encounter numerous stockpicking opportunities.

It might be a service industry, the property-casualty insurance business, or even the book business where you can spot a turnaround. Buyers and sellers of any product notice shortages and gluts, price changes and shifts in demand. Such information isn't very valuable in the auto industry, since car sales are reported every ten days. Wall Street is obsessed with cars. But in most other endeavors the grassroots observer can spot a turnaround six to twelve months ahead of the regular financial analysts. This gives an incredible head start in anticipating an improvement in earnings—and earnings, as you'll see, make stock prices go higher.

It doesn't have to be a turnaround in sales that gets your attention. It may be that companies you know about have incredible hidden assets that don't show up on the balance sheet. If you work in real estate, maybe you know that a department store chain owns four city blocks in downtown Atlanta, carried on the books at pre– Civil War prices. This is a definite hidden asset, and similar opportunities might be found in gold, oil, timberland, and TV stations.

You're looking for a situation where the value of the assets per share exceeds the price per share of the stock. In such delightful instances you can truly buy a great deal of something for nothing. I've done it myself numerous times.

Thousands of employees of Storer Communications and its affiliates, plus countless others who work in cable TV or network TV, could have figured out that Storer's TV and cable properties were valued at $100 per share, while the stock was selling for $30. Executives knew this, programmers could have known it, cameramen could have known it, and even the people who come around to hook up the cable to the house could have known it. All any of them had to do was buy Storer at $30 or $35 or $40 or $50 and wait for the Wall Street experts to figure it out. Sure enough, Storer was taken private in late 1985 at $93.50 a share—which by 1988 turned out to have been a bargain price.

I could go on for the rest of the book about the edge that being in a business gives the average stockpicker. On top of that, there's the consumer's edge that's helpful in picking out the winners from the newer and smaller fast-growing companies, especially in the retail trades. Whichever edge applies, the exciting part is that you can develop your own stock detection system outside the normal channels of Wall Street, where you'll always get the news late.

MY WONDERFUL EDGE

Who could have had a greater advantage than yours truly, sitting in an office at Fidelity during the boom in financial services and in the mutual funds? This was my chance to make up for missing Pebble Beach. Perhaps I can be forgiven